

November 2002: Amar Bhidé's discussion of

“A Theory of Firm Scope”

By Oliver Hart and Bengt Holmstrom

--a stamp collectors perspective

Questions and concerns

Central Assumption:

“Ownership of units confers rights to make non-contractible decisions”

➔ integration improves coordination.

How broad is the domain where the assumption holds?

Internet, Microsoft vs. (“old”) IBM

Passive resistance bordering on insubordination rife in most organizations

Truman on Eisenhower:

He’ll sit there and he’ll say, ‘Do this! Do that!’ And nothing will happen. Poor Ike - it won’t be a bit like the Army. He’ll find it very frustrating.

Alternative view

1. How coordination is achieved

Factors that impair contracting also limit power of bosses.

“Behavioral” manipulation – persuasion, intimidation – critical

May occur within or within or across firms

“Common law” rather than codified determination of optimal strategies.

2. Why large firms devote more resources to coordination

Growth imperative + saturated markets → expansion of firm scope

Knowledge → preference for expansion in related areas

→ search for coordination efficiencies

But this does not require asset ownership (eg. Dell)

Questions about nature of “excessive coordination”

1. Integration → loss of private benefits

Unit manager’s loss of autonomy

Imposition of less-desirable activities on rank and file

2. But some private benefits may increase with firm scope.

Security, prestige, learning opportunities, variety

Adhering to “Firm format” vs. global firm

“Benevolent” entrepreneurs increase scope to increase private benefits

3. Other social costs of excessive coordination?

What's the objective function?

Theories should incorporate information problems, but

- Assumptions/Implications infinitely large
- No falsifiability (in contrast to mid-level theory)

Stamp-collector's criteria

- Model important ubiquitous phenomena
- First order explanations
- Common Law tests of reasonableness